ESG **64/100** AVERAGE

START-UP NOTE · LEGAL SOFTWARE · 31 OCTOBER 2026

Legora

Private company · Stockholm, Sweden · Founded 2023 · AI platform for lawyers

One of the fastest-growing software companies in Europe. At 44 times its revenue run-rate, the price already pays for years of that growth.

VALUATION VIEW

Stretched

Our fair value	$7.2bn
Last round (Oct 2026)	$8.8bn post-money
Gap	−18%
Post-money / current ARR	44x

01 Thesis and valuation view

We rate Legora's latest valuation as STRETCHED: our probability-weighted fair value is $7.2bn, 18% below the $8.8bn post-money of the October 2026 Series E. Legora is a real business with real customers. It has passed $200m of annual recurring revenue three years after its founding, and more than half of the 50 largest US law firms use it. But the round values it at 44 times that revenue. To earn a 25% return for a late-stage investor, revenue must reach about $4bn by 2031, twenty times today's level.

Three points

- **Growth is among the fastest ever recorded in enterprise software.** Annual recurring revenue (ARR) went from about $1m in March 2024 to $100m in April

2026 and above $200m by October 2026, according to the company. Bessemer, an investor, calls it the fastest enterprise business to reach $100m.

- **Legora is the number two in a two-horse race.** Its US rival Harvey reported more than $400m of ARR in September 2026 and is valued at $15.5bn. Both firms raise very large rounds to win the same large law firms.
- **The model makers are moving into legal work.** Anthropic launched Claude for Legal in May 2026 and OpenAI is building a legal offer. Legora buys its core technology from these suppliers and now competes with them for the same budgets.

> WHAT WOULD MAKE US WRONG
>
> The main risk to our view is that growth continues at the current pace for longer than we assume. Legora doubled its ARR in under six months this year. If ARR reaches $280m by December 2026, our estimate, and the market applied the software median of 35.6x to that figure, the comparables value would be $10.0bn and our fair value $8.3bn, close to the round price. A second risk is strategic value: incumbents such as Thomson Reuters or RELX could pay a premium to buy a leading AI platform rather than build one.

INDICATOR	VALUE	COMMENT
Post-money valuation	$8.8bn	Series E, 21 October 2026
Post-money / current ARR	44x	on ARR above $200m
Post-money / 2026E revenue	59x	on our $150m estimate
Valuation growth, 12 months	4.9x	from $1.8bn (Series C, October 2025)
Harvey, for comparison	39x ARR	$15.5bn on more than $400m of ARR

Legora does not publish its accounts in detail. ARR figures are company statements; earlier figures are third-party estimates (Sacra, Contrary Research). Revenue 2026E is our own estimate and should be read as an order of magnitude.

02 The surprise: a 57% step-up in six months

On 21 October 2026 Legora announced a $550m Series E at an $8.8bn post-money valuation. The round was led by Atreides Management, a Boston investor new to the company. Large public-market funds joined for the first time: Fidelity, Capital Group, Baron Capital and J.P. Morgan. Existing backers including Accel, Benchmark, Bessemer, General Catalyst and ICONIQ also invested.

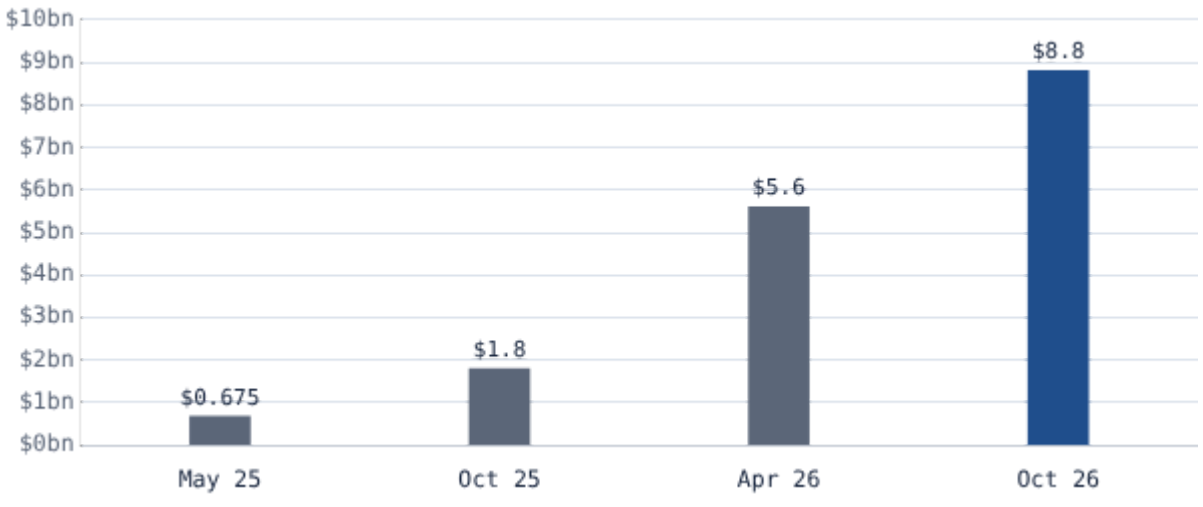
Only six months earlier, Legora had closed a $600m Series D at $5.6bn. A 57% step-up in half a year is large even by the standards of the 2026 AI market. Press reports in August had mentioned talks above $10bn, so the final price was below the highest rumours. The arrival of mutual-fund investors matters: these are the buyers who usually appear one or two rounds before a stock market listing.

With the round, the CFO said ARR had passed $200m. In-house legal teams, a small share of clients a year ago, made more than 40% of new customers in the third quarter, and the US is now Legora's largest market.

03 Funding and valuation history

DATE	ROUND	RAISED	VALUATION
2024	Seed (Benchmark)	$10m	n/d
Jul 2024	Series A (Redpoint)	$25m	n/d
May 2025	Series B (ICONIQ, General Catalyst)	$80m	$0.675bn
Oct 2025	Series C (Bessemer)	$150m	$1.8bn
Mar-Apr 2026	Series D (Accel) and extension	$600m	$5.55-5.6bn
Oct 2026	**Series E (Atreides)**	**$550m**	**$8.8bn**

Exhibit 1 **Post-money valuation by round ($bn)**



The company has raised about $1.4bn of equity in total. Each round has been priced at two to three times the previous one, except the last, which was a smaller step. The Series D extension in April brought in Nvidia's venture arm, Atlassian, Barclays and Liberty Global.

n/d: not disclosed. Sources disagree on the seed date (March or May 2024) and on the Series D figure ($5.55bn at first close, $5.6bn after the extension). We use $5.6bn as the base for the step-up.

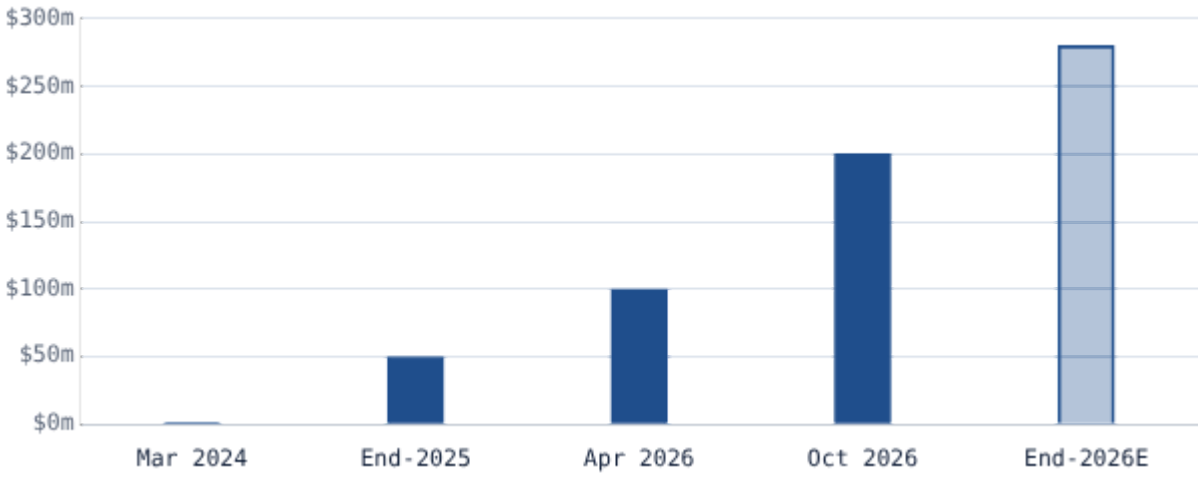
04 Business model and revenue

Legora was founded in Stockholm in 2023 by Max Junestrand (CEO), Sigge Labor and August Erséus, under the name Leya. It went through Y Combinator in early 2024 and took its current name in February 2025. Its first large client was the Swedish law firm Mannheimer Swartling.

The product is a workspace where lawyers review documents, research case law, draft contracts and run multi-step tasks with AI agents. It sits on top of models from outside providers. Legora sells per-seat subscriptions, with an estimated average contract of about $95,000 a year (Sacra). Since June 2026 it has started to charge some agent features by usage. Clients include Linklaters, White & Case, Cleary Gottlieb and Goodwin, plus in-house teams at Salesforce and Blackstone.

The company has grown by acquisition as well: five purchases in 2026 (Walter AI, Qura, Graceview, Cadastral and Wexler), each adding a feature such as legal research or regulatory monitoring. Staff went from about 40 to more than 1,000 in around two years, across 18 offices.

Exhibit 2 **Annual recurring revenue ($m)**



Mar 2024: Contrary Research. End-2025: Sacra estimate. Apr and Oct 2026: company. End-2026E: Puccetti Capital Research estimate, shaded.

Profitability is the open question. The CEO said in late 2025 that gross margins were "okay" but below normal software levels, because every query pays for

model inference. With headcount up 25-fold and five acquisitions in a year, we assume the company is loss-making.

05 Listed comparables

No pure-play legal AI company is listed. We use two groups. The first is fast-growing data and AI software, which the market values on revenue. The second is the legal information incumbents that Legora competes with for law-firm budgets.

COMPANY	EV / SALES (LTM)	REVENUE LTM	3-YR GROWTH FORECAST
Palantir	76.1x	$6.2bn	58.5%
Cloudflare	46.8x	$2.5bn	29.7%
Datadog	24.4x	$4.0bn	25.6%
Snowflake	21.4x	$5.4bn	30.5%
Median, growth software	**35.6x**		
Thomson Reuters	7.1x	$7.8bn	6.9%
RELX (LexisNexis)	6.3x	£9.7bn	6.4%
Wolters Kluwer	3.9x	€6.1bn	4.6%
Median, legal information	**6.3x**		
Legora at $8.8bn	**44x ARR**	**>$0.2bn ARR**	**>100%**

Applied to current ARR of $200m, the growth-software median of 35.6x gives $7.1bn. This is our central comparables value. The incumbents' 6.3x gives only $1.3bn, our low case. The highest multiple in the group, Palantir's 76.1x, applied to our end-2026 ARR estimate of $280m gives $21.3bn, our high case. Legora grows much faster than any listed peer, which argues for the top of the range. But the listed companies are profitable or close to it and have years of audited revenue. We give this method 40% of our fair value.

StockAnalysis, 23-27 October 2026. Enterprise value divided by revenue of the last twelve months.

06 Main model: venture capital method

The VC method estimates what the company could be worth at exit in five years, then discounts that value at the return a late-stage investor requires. We use 25%, the upper part of the 20-30% range for loss-making companies, because

Legora depends on suppliers that are also competitors. We assume a further 15% dilution from future rounds and employee options before exit.

SCENARIO	REVENUE 2031	EXIT EV/SALES	EXIT VALUE	VALUE TODAY	PROBABILITY
Bear: model makers take the market, Legora a niche player	$1.2bn	5x	$6bn	$1.7bn	25%
Base: strong number two to Harvey worldwide	**$3.0bn**	**8x**	**$24bn**	**$6.7bn**	**50%**
Bull: leading operating system for legal work	$5.0bn	10x	$50bn	$13.9bn	25%
Probability-weighted value				**$7.2bn**	**100%**

Our base case already assumes revenue grows about 20-fold in five years, to $3bn. For scale, that is close to 40% of Thomson Reuters' total revenue today. An exit multiple of 8x is in line with what the market pays for software companies still growing 30% a year. The bull case assumes Legora becomes the main work platform for lawyers worldwide.

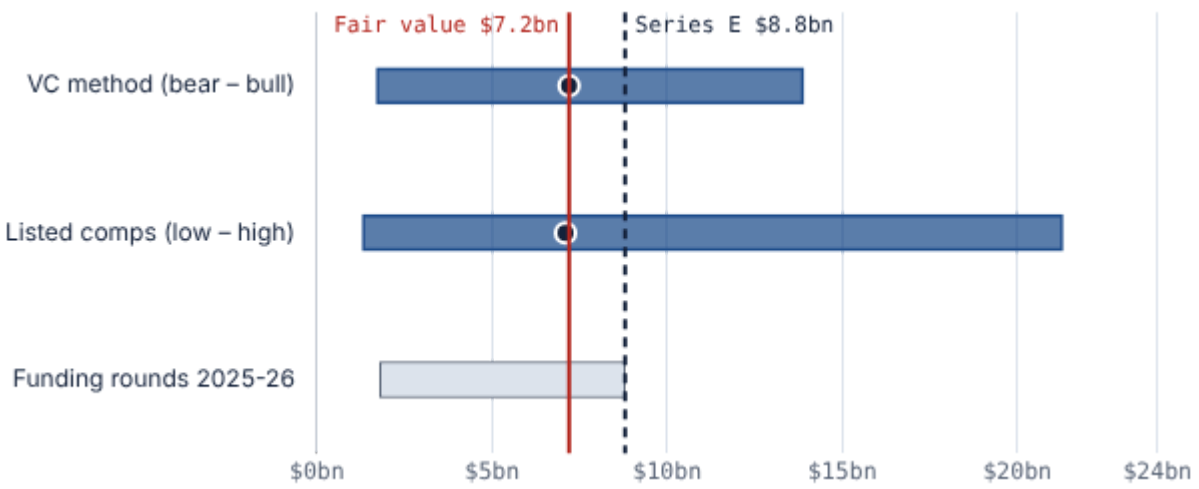
Exhibit 3 **Sensitivity of the base case ($bn) to required return and exit multiple**

RETURN \ EXIT EV/SALES	6X	7X	8X	10X	12X
20.0%	6.1	7.2	8.2	10.2	12.3
22.5%	5.5	6.5	7.4	9.2	11.1
25.0%	5.0	5.8	**6.7**	8.4	10.0
27.5%	4.5	5.3	6.1	7.6	9.1
30.0%	4.1	4.8	5.5	6.9	8.2

At $8.8bn, the base case implies an annual return of about 18%. At our 25% required return and 8x, revenue would need to reach about $4.0bn in 2031 to justify the round.

07 Fair value and verdict

Exhibit 4 **Value range by method ($bn)**



Bars: low to high. Dot: central value. Dashed line: Series E $8.8bn. Solid line: our fair value $7.2bn.

METHOD	CENTRAL	WEIGHT	LOW	HIGH
VC method (probability-weighted)	$7.2bn	60%	$1.7bn	$13.9bn
Listed comparables (EV/Sales)	$7.1bn	40%	$1.3bn	$21.3bn
Fair value	**$7.2bn**	**100%**		

The two methods give almost the same central value, which gives us some comfort in the result. The gap to the round, 18%, sits just beyond our 15% threshold for a Stretched verdict.

VERDICT · STRETCHED · FAIR VALUE $7.2BN

The Series E price is 18% above our fair value. It is not far off, but it is slightly more expensive than Harvey on revenue (44x against 39x of ARR) for a company half its size. But it leaves little room for a slowdown, for margin pressure from model costs, or for model makers selling directly to law firms. We would see the valuation as supported if Legora showed ARR above $400m by mid-2027 with improving gross margins.

08 Risks and catalysts

Risks

- **Supplier competition:** Anthropic and OpenAI now sell legal products directly.
- **Harvey:** twice the ARR and more capital; price competition for large firms.

- **Margins:** inference costs keep gross margins below software norms.
- **Integration:** five acquisitions and 25-fold headcount growth in two years.
- **ESG:** our ESG score is 64/100 (Average), held back by the absence of any sustainability reporting so far.

Catalysts

- **Next ARR update,** likely with year-end 2026 figures.
- **Move to usage-based pricing,** which could raise revenue per client.
- **In-house legal teams,** now over 40% of new customers.
- **IPO preparation:** mutual funds on the cap table point in that direction.

Method and sources. Private-company valuation. Funding data from company announcements and press; ARR from company statements and third-party estimates (Sacra, Contrary Research); revenue 2026E and all scenarios are Puccetti Capital Research estimates. Listed comparables from StockAnalysis.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Legora. Not investment advice.

1. Tech.eu (Series E) · Artificial Lawyer (Series E) · Tech Funding News (ARR, staff, rounds) · Bessemer ($100m ARR)
2. Sacra (ARR estimates, pricing, rounds) · Contrary Research (history, competitors) · Legal IT Insider (acquisitions) · Value Add VC (Harvey)
3. Comparables: Palantir · Cloudflare · Datadog · Snowflake · Thomson Reuters · RELX · Wolters Kluwer
4. ESG: Legora (certifications) · Legora ESG role posting